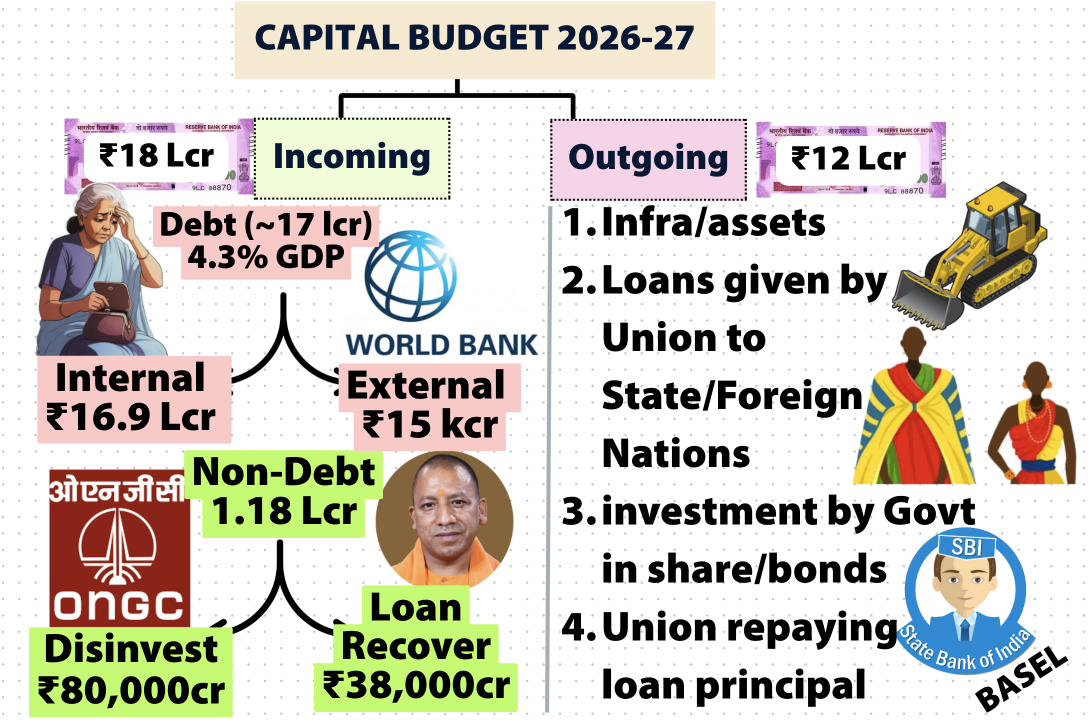
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26 Budget → Capital → Receipts



Capital Debt Receipts पूंजीगत ऋण प्राप्तियाँ	Capital Non-Debt Receipts: गैर-ऋण पूंजी प्राप्तियां
💼🤲🐯 **Internal Borrowing:** आंतरिक ऋण - 🐯From RBI, - From market (Banks, NBFCs) - From small savings (Post-Office Savings Accounts, Kisan Vikas Patra, etc) Ref#1D. - From Provident Funds (EPFO, PPF)	**Loan Principal recovered** (i.e. Union government would have given loans to state governments, foreign countries, public sector companies etc.) so when they return Principal amount back that is counted here. (मूलधन की बरामदगी)
💼🤲🎅 **External borrowing:** from foreign countries & international institutions like IMF World Bank, BRICS bank etc. बाह्य।/ विदेशी ऋण	**Disinvestment** (विनिवेश) i.e. Union selling its shares from Public Sector Undertakings (PSUs) / Central Public Sector Enterprises (CPSEs).
Bigger portion of Capital Receipts from this side	Smaller portion

🔠❓ **MCQ. *Which of following is not a component of 'Capital Receipts'? (IEnggS-2018)***

(a) Market borrowings including special bonds

(b) External/foreign loans raised by the Central Govt (c) Taxes on property and capital transactions

(d) Provident Funds (State Provident Funds and Public Provident Fund)

🔠❓ ***MCQ. Find capital receipt of the Govt of India? (CAPF-2024)***

1.Disinvestment receipts 2. Interest receipts 3. Small savings 4.Net market borrowing.

Codes: (a) 1 and 3 only (b) 2 and 4 only (c) 1, 2, 3 and 4 (d) 1, 3 and 4 only.

🔠 **MCQ. *Find Correct (Pre'25)***

I. Capital receipts create a liability or cause a reduction in the assets of the Government.

II. Borrowings and disinvestment are capital receipts.

III. Interest received on loans creates a liability of the Government.

Codes: (a) I and II only (b) II and III only (c) I and III only (d) I, II and III

26.1 👨💳♐👨‍💼 BUDGET → CAPITAL RECEIPTS → DISINVESTMENT: विनिवेश

There are THREE types of Commercial or industrial undertaking owned by the govt:

🚄✉ Departmental Undertakings विभागीय उपक्रम	🐯Statutory Corporations वैधानिक निगम	⛽Govt. Companies सरकारी कंपनिया
Directly part of a ministry e.g. Postal, Railways, They can be created easily because, no laws required, no Companies Act registration required	Created by an act of Parliament or state legislature. E.g. RBI Act, SBI Act, LIC Act, FCI Act, EPFO Act. etc, SIDBI, NABARD, NHB, EXIM etc.	Registered under the Companies Act, Govt's shareholding is 51% or more.Coal India ltd, GAIL, SAIL, NTPC, IOCL, BHEL & various Public Sector Banks and NBFCs which are not statutory corporations.
Risk aversion by officers. 👺 High level of ministerial interference (मंत्री की दख़ल ज़्यादा)	🤘 Middle of both sides	More operational flexibility to officers. Less interference by Ministers

✉ Departmental Undertakings विभागीय उपक्रम	Statutory Corporations वैधानिक निगम	Govt. Companies सरकारी कंपनिया
CAG will audit directly [भारत के नियंत्रक और महालेखा परीक्षक स्वयं विभागीय उपक्रम के हिसाब किताब का लेखा परीक्षण करेंगे]	Some of these Acts provide for internal audit & exclude CAG from auditing the Corporation. E.g. RBI, LIC.	Companies Act requires them to produce audited reports. CAG will empanel the (private) auditors for them.
Their earning will go directly in Public Account / CFI	Their earning → profit → dividend goes to shareholders.	
All three types of org are Answerable under the Right to Information Act, 2005 सूचना अधिकार कानून/ अधिनियम के अंतर्गत इन सभी संस्थानों ने जानकारी देनी होगी		
Their employees are considered government employee- subjected to service and discipline rules framed by the government.	Not considered govt employees. Their service / discipline conditions are governed by the respective organizations' internal manuals. सरकारी कर्मियों वाले सेवा और अनुशासन/शिस्त के नियम इनके कर्मीयो को लागू नहीं होते.	

⇒ **Objective:** Public interest & welfare through affordable services, Development of infrastructure, regional balance, prevent concentration of economic power in the hands of Corporates /MNCs. (उदेश्य: जन हित में सस्ती सेवाएं, बुनियादी ढांचा, विकास में क्षेत्रीय संतुलन, बहुराष्ट्रीय कंपनियों के हाथों में आर्थिक शक्ति की केन्द्रीकरण रोकना)

⇒ **Challenges?** Political interference, lack of innovation & consumer responsiveness, employee unions, loss making business. (राजनीतिक हस्तक्षेप, नवाचार की कमी, उपभोक्ता के प्रति जवाबदेही कम, कर्मचारीओ को काम से ज्यादा यूनियनों-बाजी और हड़ताल में लिप्त रहेना, घाटे में चलना)

26.1.1 CPSE vs PSU vs PSB

⇒ **PSB:** Public Sector Banks = Banks wherein Govt has majority shareholding.

⇒ **Central Public Sector Enterprises (CPSEs: केंद्रीय सार्वजनिक क्षेत्र के उपक्रम):** Registered in Companies act & **Union Government has 51%/> shareholding.** Commonly known as '**Govt companies**'. The word CPSE is mainly used to denote "govt companies other than Public Sector Banks, Public Sector Insurance Companies and Public Sector NBFCs".

⇒ **Public sector Undertaking (PSU:** सार्वजनिक क्षेत्र के उपक्रम**)** = collective term for all the govt companies owned by Union Govt + State Government + Local Bodies.

> ✋ **Note:** Some book/internet may differ in this definition. But we need not loose sleep over pedantry. शब्दभेद में पांडित्य वाली बाल की खाल निकालने की कोई जरूरत नहीं है।

26.1.2 Ratna Companies = freedom to govt companies based on performing

⇒ Dept of Public Enterprises under FinMin decides Ratna Status. (REF: Handout #2A for more).

⇒ ✋This is NOT for private owned companies like Tata, Infosys or Adani.

⇒ "Ratna" status-*walli* Govt Companies are given for the flexibility in their operations e.g. hiring more professionals, acquisition of other companies etc. without requiring government approval

for every small decision. (अच्छा प्रदर्शन करने वाली सरकारी कंपनियों को अपनी कार्य रीति के लिए स्वतंत्रता देना. हर छोटी चीज के लिए सरकार से अनुमति लेना जरूरी नहीं)

Category	Condition and examples
🥉 **Miniratna Cat-I and Cat-II**	✓ made profits in the last 3 years continuously, further subdivision in Category-I & Category-II depending on how much profit is generated. ✓ **Examples:** National Film Development Corporation ltd, Mazagaon Dock ltd, Mishra Dhatu Nigam, NHPC ltd, WAPCOS, ONGC Videsh, Rail Vikas Nigam
🥈 **Navratna**	✓ A Mini Ratna company fulfilling "x" conditions OR ✓ Non-Mini Ratna Govt companies fulfilling "y" conditions such as Manpower cost to total cost of production etc. ✓ **Examples:** Rashtriya Ispat Nigam ltd, Rural Electrification Corporation ltd, Shipping Corporation of India ltd, Oil India ltd, National Aluminum Company ltd, Neyveli Lignite Corporation ltd, Mahanagar Telephone Nigam ltd, Hindustan Aeronautics ltd, Container Corporation of India ltd, Bharat Electronics ltd,
🥇 **Maharatna**	✓ Already a Navratna Company+ fulfilling "z" conditions such as min. ₹ 5000 crore profit per year in last 3 yrs, listed at a Stock exchange, significant global presence ✓ **Very few here:** 1)Bharat Heavy Electricals, 2)Bharat Petroleum Corporation, 3)Coal India , 4)GAIL (India) , 5)Hindustan Petroleum , 6)Indian Oil Corporation, 7)NTPC , 8)Oil & Natural Gas Corporation (ONGC), 9)Power Grid Corporation, 10) Steel Authority of India (SAIL)

✋ Above Ratna examples taken on 1/1/2020. List may change afterwards. Some companies get privatized. Don't loose sleep, unless preparing for their specific recruitment exam. e.g. ONGC

✓ **FAQ. Are Public Sector Banks (PSB) given Ratna Status?** Ans. No. While PSBS are a sub-set of Government companies but Ratna status is for CPSEs who are NOT PSBs.

✓ **FAQ. Are Statutory Corporation like LIC, EPFO etc given Ratna Status?** Ans. No. It's for Central Govt's companies only. It is not for statutory corporation.

✓ **FAQ. Are State Govt's Govt Companies given Ratna Status?** Ans. No. It is for Central Govt owned companies only. ये सिर्फ केंद्र सरकार की सरकारी कम्पनियो के लिए है

✓ **FAQ. Are Private sector Companies like Tata/Reliance given Ratna Status?** Ans. No. It is for Central Govt owned companies only. भाई ये सिर्फ केंद्र सरकार की सरकारी कम्पनियो के लिए है. इतनी आसान और सीधी सी बात को आप क्यों जटिल कर रहे है!?

🔠❓ **MCQ. Which among the following is designated with 'Navratna' status? (CDS-2021-i)**

(a) Indian Oil Corporation Limited (b) Gas Authority of India Limited
(c) Bharat Petroleum Corporation Limited (d) Bharat Electronics Limited

26.1.3 👴💳💱👷 Government policy towards disinvestment before 2021

⇒ **Disinvestment:** ↓↓ govt shareholding in a Government company but govt keeps atleast 51% shareholding with itself.

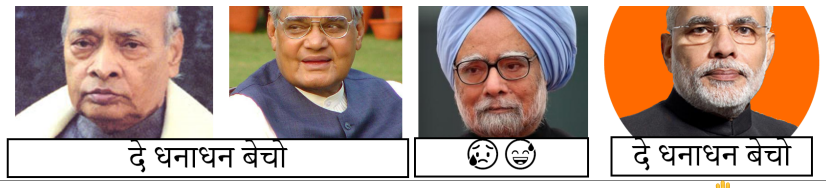
⇒ **Privatization / Divestment / Strategic Disinvestment** (निजीकरण/रणनीतिक विनिवेश): When govt sells upto 50 per cent or more shareholding, along with transfer of management control. (Definition as per DIPAM Dept)

⇒ ✅**Arguments in favour:** ↓↓ govt shareholding → Private investors will enter in the board of directors → ↑↑ efficiency, innovation and autonomy. दक्षता, नवाचार स्वायत्तता

⇒ Disinvestment proceeds can be used for welfare schemes, and ↓↓ fiscal deficit.

⇒ ✋ **Argument Against:** MNC monopolies, exploitation of worker, job loss.

26.1.4 Chronology of Nationalisation and Privatisation

Year	Nationalization and Disinvestment related developments
1951	✓ First Constitution Amendment Act: While 19(1)(g) gives citizen's right to practice any profession. But Government can impose reasonable restrictions on it for interests of general public → this allowed for nationalization of pvt industries e.g. Bank nationalization in Pillar#1B1 (सरकार जन हित में निजी कंपनीयो का राष्ट्रीयकरण कर सकती है.) ✓ (🎓NOTE: first amendment act also contain some other provisions for SEBC, 9th Schedule etc, but we are only focusing on the parts that are related with nationalization/disinvestment)
1953	⇒ 1953: Air Corporations Act: Govt nationalised nine airlines—including Air India (started by JRD Tata in 1932 → two sarkaari companies made I) Indian Airlines II) Air India International.
1991	The term 'disinvestment' was used first time in Interim Budget 1991. "We will reduce shareholding in all Govt Companies"- said PM Narasimha Rao. 
1998's PM Vajpayee	- In strategic sector (Railways, Defense, Atomic Energy)- ✋we'll not do disinvestment - In Non-strategic sector = ✅we'll do disinvestment in a phased manner (गैर-रणनीतिक क्षेत्र में चरणबद्ध तरीके से विनिवेश करेंगे). - 1999: PM Vajpayee set up Department of Disinvestment → privatisation of Maruti Udyog, Hindustan Zinc, Bharat Aluminum and Videsh Sanchar Nigam Limited (VSNL) etc. 12 govt companies.
UPA-1 (2004-09)	Due to pressure from Leftist/Marxist coalition parties = No Disinvestment from any government companies. If a government company is sick, we will try to revive it. वामपंथी / मार्क्सवादी गठबंधन दल के चलते विनिवेश नहीं
UPA-2 (2009-14)	✓ All Govt Companies can be disinvested upto 49% = Govt will keep 51% minimum and sell remaining shares.

	✓ ₹₹ will goto National Investment Fund (NIF, in Public Account) → used for Bank recapitalization, metro rail, nuke energy, EXIM-NABARD-RRB etc. राष्ट्रीय निवेश कोष ✓ Also launched CPSE-Exchange Traded funds (ETF): *Ref Pill#1C:SEBI*

26.1.5 Methods of Disinvestment in Modi Raj : ETF, OFS, etc.

✓ Various methods of Disinvestment, depending on the Company

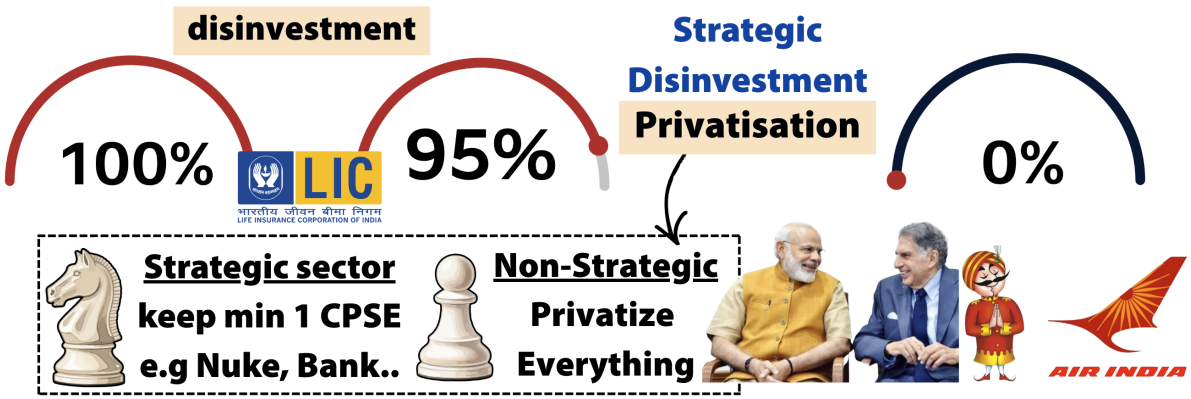
1. **Converting Private Limited Company** to public limited company and issuing Initial Public Offers (**IPOs**) e.g. *Indian Railway Catering and Tourism Corporation (IRCTC) and Rail Vikas Nigam Ltd (RVNL)*
2. **Exchange Traded Funds (ETFs):** CPSE-ETF, Bharat-22-ETF *(Ref: Pillar#1C)*
3. **Institutional placement Programme (IPP):** offer shares only to non-retail investors.
4. **Offer for sale (OFS):** Govt sells its existing shares to both retail and non-retail investors
5. Share **Buyback** i.e. Govt company itself buys the shares owned by Govt, thereby decreasing Government's shareholding portion viz a viz private sector's shareholding.

✓ Modi govt **shut down many sick** Govt companies such as HMT watches, Hindustan Photo Film etc. (जिसे कोई निजी क्षेत्र का उद्योगपति खरीद कर चलाना नहीं चाहता था उन बीमार सरकारी कंपनियों को बंद कर दिया.)

✓ Budget-2016 renamed FinMin's Dept of Disinvestment into Dept. of Investment & Public Asset Management (DIPAM: निवेश और सार्वजनिक संपत्ति प्रबंधन विभाग).

26.1.6 Disinvestment targets – usually fail

Budget	2018-19	2019-20 to 2023-24	2023-24	2025-26	2026-27
Target	80,000 cr	Big targets	50,000 cr	₹47,000cr	₹80,000
Achieved?	✅ yes	Not achieved	😰33,000 cr	😰 33,000cr	We'll see



26.2 Privatization / Strategic Disinvestment in Modi Raj

⇒ **Strategic Disinvestment** (रणनीतिक विनिवेश): it means selling a substantial portion of Government shareholding in a CPSEs along with transfer of management control to a private party.

⇒ For this action, NITI Aayog prefers to use the term 'strategic disinvestment', 'strategic sale' instead of '**privatization**', lest the opposition parties create uproar about it.

⇒ Sometimes, press statement also uses the word "**Divestment**" for it.

26.2.1 👻👴💳 → 👴💼 New Public Sector Enterprise (PSE) Policy (2021)

	Strategic sectors (महत्वपूर्ण क्षेत्रो)	Non strategic sectors
Example	1) Atomic energy, Space, Defence (परमाणु ऊर्जा, अवकाश,रक्षा,) 2) Transport, Telecom (परिवहन, दूरसंचार) 3) Power, Petroleum, Coal, other minerals (ऊर्जा, पेट्रोलियम, कोयला, खनिज,) 4) Banking, Insurance and financial services (बैंकिंग बीमा वित्तीय सेवाएं)	All the other sectors. (बाकी तमाम क्षेत्रों= गैर-महत्वपूर्ण क्षेत्रो= में जितने भी सरकारी कंपनियां है उन सब को या तो निजीकरण कर देंगे या बंद कर देंगे)
Will there be a govt company here?	Minimum one government company will be kept. Remaining will be merged/ privatized/shutdown (महत्वपूर्ण क्षेत्रो में सिर्फ एक सरकारी कंपनी को रखा जाएगा)	No government company will be kept. All the Existing government companies will be privatized/shutdown.

26.2.2 📕 ES26 on CPSE- change definition for faster PVTZN : 51% → 26%

- Problem: Companies Act says "govt company" = min 51% govt stake. So beyond 49% = loss of "govt company" status.
- This blocks more disinvestment fearing backlash from factory workers and opposition parties.
- Consequently, even though 36 CPSE approved for privatisation, only 13 actually completed since 2016. e.g. Air India.

ES26 suggests two options:

Option	Approach
A	Redefine "govt company" from 51% ownership to 26% (since effective control over company needs only 26%)
B	No legal change — keep doing phased disinvestment below 51%, all the way up to 0% ownership i.e. complete privatisation- as done in AirIndia.

26.2.3 🍋 16th FC on CPSE- shut down/privatize

- States government should actively privatize State electricity distribution companies (DISCOMs).
- Shutdown 308 inactive State Public Sector Enterprises (SPSEs).
- If State or union PSEs incur losses for 3 out of 4 consecutive years, then union/state govt should decide closure/privatisation. (नुकसान / घाटे में चल रही सरकारी कंपनियों को बंध कर दो /निजीकरण कर दो)

🔠❓ ***MCQ. Why is Govt disinvesting its equity in the Central Public Sector Enterprises (Pre'11)***

1. *The Government intends to use the revenue earned from the disinvestment mainly to pay back the external debt.*
2. *The Government no longer intends to retain the management control of the CPSEs.*

Ans Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

26.3 Disinvestment – Misc. Topics

26.3.1 National Monetisation Pipeline (NMP 2021)

⇒ Govt initiative for selling/renting/leasing the land/building/machine/assets of CPSE/National Highways/Railways to mobilise ₹6 lakh crore by 2025. (राष्ट्रीय मौद्रिकरण पाइपलाइन = इस मुहिम के अंतर्गत सरकारी कंपनी/हाईवे/रेलवे की संपत्तियों को बेचना/किराये पर देना- इसकी मदद से ६ लाख करोड़ रुपये बटोरने हैं)

⇒ More in Pillar#5- along with other associated topics like 1) National Investment and Infrastructure Fund (NIIF) 2) National Infrastructure Pipeline / GATI Shakti initiative etc.

26.3.2 Minimum Dividend Rule (2024-Nov)

- Finance Ministry requires central public sector enterprises (CPSEs e.g. ONGC) and Sarkaari-NBFCs (e.g. LIC, Power Finance Corp, etc) to pay minimum 30% of their profit as dividend.
- Note1: what about sarkaari banks like SBI/PNB? Ans. Not given in newspaper, so I did not do self-PHD/James-Bondgiri for it.
- Note2: It has more terms and condition related to net worth, but poor cost benefit for MCQ.

26.4 Budget ⟶ Capital Part ⟶ Expenditure (पूंजीगत व्यय)

बजट ⟶ पूंजीगत भाग ⟶ व्यय: Its notable components in decreasing order are:

1. Capital assets for various schemes, ministries, departments (Building, vehicles..)
2. Giving debt/equity finance to PSUs & foreign institutes, giving loans to State Govt & Foreign Govt. **Note:** FinMin: Dept of Economic Affairs (DEA)'s Indian Development and Economic Assistance Scheme (**IDEAS**) gives such ₹₹ to foreign nations.
3. Union repaying loan principal for Internal Debts (आंतरिक ऋण का मूलधन वापस देना)
4. Union repaying loan principal for External Debts (बाह्यऋण का मूलधन वापस देना)

26.4.1 State CAPEX Loans (SASCI)

⇒ Scheme of Special Assistance to States for Capital Expenditure (SASCI)

⇒ 2020: Union to loan interest-free 50-year loan to states. Total amount approx. ₹12,000 cr for capital expenditure like, health, rural development, water supply, irrigation, power, transport, education, urban development. (स्वास्थ्य, ग्रामीण- शहरी विकास, जल आपूर्ति, सिंचाई, बिजली, परिवहन, शिक्षा के पूंजीगत ख़र्चों के लिए केंद्र द्वारा राज्य सरकारों को बिना ब्याज के लोन)

⇒ **Budget-2023:** we'll give capex loans & Some of these CAPEX loans will be linked to:

- - Scrapping old government vehicles (पुराने सरकारी वाहनों को स्क्रैप/कबाड़ी में भेजना)
- - Urban planning reform, Urban local bidies reforms
- - Housing for policemen; - Constructing Unity Malls- Ref Pillar#3A (एकता मॉल का निर्माण)
- - Libraries and digital infrastructure (पुस्तकालय और डिजिटल बुनियादी ढांचा)

⇒ **Budget-2024, 2025 gave loans.** Budget-2026: allotted ₹2 lakh cr

26.4.2 Budget ⟶ Capital Part ⟶ Effective Capital Expenditure (प्रभावी पूंजीगत खर्च)

(₹ करोड़) (In ₹ crore)

		2024-2025 वास्तविक Actuals	2025-2026 बजट अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 बजट अनुमान Budget Estimates
पूंजीगत व्यय	Capital Expenditure	1051953	1121090	1095755	1221821
पूंजीगत आस्तियों के सृजन हेतु सहायता अनुदान	Grants in Aid for creation of capital assets [1]	272656	427192	308151	492702
जोड़	**Total**	**1324609**	**1548282**	**1403906**	**1714523**

What does above chart mean? Ans. Explained in the video lecture.

26.4.3 Capital expenditure for a Company

Capital Expenditures of a company = the amount of money invested by the company in (income generating) assets such as:

Tangible Assets भौतिक संपत्तियां	Intangible Assets अमूर्त संपत्तियां
Land, Buildings, Vehicles, Equipment	Patents for vaccines, copyright for books/music/movies/softwares, Brand-logo, Trade secret formulas (e.g. KFC burger, Cocacola),
Raw material and Unsold inventory (finished goods)	License fees (e.g Software, mining, telecom etc) (Ref: Pillar#5- Infra)
Investments made in the shares/bonds of other companies.	Clients' database / mailing list
Accounts receivable (Ref#1C)	Goodwill (Ref: Pillar#1C - eg Byjus buying Whitehall jr.)
Cash & deposits in bank account	Website domain name

We can further sub-divide these assets into current assets, financial assets, fixed assets. More of that in Pillar7: Microeconomics.

MCQ. Find correct about company's Expenditure(Prelims-2022)

1. Acquiring new technology is capital expenditure. (नई प्रौद्योगिकी को ख़रीदना पूंजीगत ख़र्च है)

2. Debt financing is considered capital expenditure, while equity financing is considered revenue expenditure. (ऋण-द्वारा वित्तपोषण को पूंजीगत ख़र्च माना जाता है जबकि इक्विटी/शेयर वित्तपोषण को राजस्व ख़र्च माना जाता है।)

Codes: (a) 1 only (b) 2 only. (c) Both 1 and 2. (d) Neither 1 nor 2

MCQ. How many of the above are considered intangible investments? (Prelims-2023)

1. Brand recognition 2. Inventory 3. Intellectual property 4. Mailing list of clients

Codes: (a) Only one (b) Only two (c) Only three (d) All four

Next HDT: 2D2- Fiscal Deficit, FRBM Act